ACQUISITION MANAGEMENT AND INTEGRATION
AUDIT PROGRAM #57-00-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
March 2025	All	All	Don Dobrzelewski	Updated phase names and some nomenclature in testing.
March 2024	All	All	Don Dobrzelewski	Updated RAE, testing, Divestitures
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

For the purpose of this internal audit program, an acquisition or divestiture transaction shall mean any IBM transaction that directly involves IBM changing its ownership position in another entity or in liquidating an IBM business unit. The transaction can take the form of an acquisition, divestiture, or minority investment including partnership interests. These transactions may be structured as either an exchange of an equity stake or the sale or purchase of a set of assets (obligations) which constitute a business.

The process begins with the unit's business strategy identifying the necessity to pursue acquisitions, divestitures, or both. The audit program begins when the concept phase begins. The process ends when an acquisition achieves Transfer of Business (ToB) or when a divestiture is completed. ToB may be declared when an acquisition has met the requirements per FIN122.

<u>Roles and Responsibilities</u>
Corporate Development owns the design of the acquisition and divestiture process.

Unit Business Development supports the Unit sponsoring organization and works closely with Corporate Development.

The Unit sponsor selects and advocates for target opportunities, participates in all phases of the process, and owns achieving the committed results. Responsibilities include:

- identify need for acquisitions or divestitures consistent with strategic objectives.
- assess fit - such as strategic, market, competitive, technical, operational, personnel, and financial.
- engage support organizations to assess fit, prepare recommendations, and support all phases of acquisition / divestiture management and integration.

Below is a summary of roles Corporate Development, Unit Business Development, and the Unit sponsor play through the acquisition process:

		Corporate Development	**Unit Business Development**	**Unit Sponsor**
Concept / Final	Prepare Deal Committee materials for concept review	Review	Lead	Assist
	Coordinate business unit reviews and approvals	Advise/Support	Lead	Lead
	Coordinate due diligence process	Lead	Support	Support
	Engage functional units	Both	Both	Support
	Coordinate CHQ reviews and approvals	Lead	Support	Support
	Business Case Model	Advise/Review owns model	Lead	Owns data
	Manage investment banker relationship	Lead	Support	
	Negotiate value and terms and conditions	Lead	Support	
	Work with legal to prepare definitive agreements	Lead	Support	
	Create integration plan	Advise/Support/ Review	Support	Lead

PROCESS AND OBJECTIVE (Continued)

Process and Phases

The audit program covers four primary phases:

1. Concept
2. Due Diligence and Draft Integration Plan
3. Final Approval, Execute Deal and Record Transaction
4. Post-deal management (Integrate and Monitor). For acquisitions, this includes integration. For divestitures, this includes evaluating the change in the business relationship and establishing transition plans.

This audit program is applicable for worldwide acquisition and divestiture activities. Every requirement may not apply to each transaction. Further guidance is provided in the remainder of this audit program.

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PLANNING: Audit Program Risk Alignment

Acquisition Management and Integration

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Final Approval / Financial Settlements	High	Execution and Final Approval	EF004.P
Contract Management	High	Execution and Final Approval	EF005.P
Transition Plans	High / Medium	Execution and Final Approval	EF008.P
Business Model	High / Medium	Execution and Final Approval	EF003.P
Confidentiality: External for Acquisitions/Divestitures, Internal for Employees	Medium	Execution and Final Approval	EF001.P
Due Diligence	Medium	Due Diligence	DD001.P
Background Checks	Medium	Execution and Final Approval	EF002.S
Financial Accounting and Reporting	Medium	Post-Deal Management	PD002.P
Litigation Settlements	Low	Execution and Final Approval	EF006.S
Concept Approval	Low	Concept	CT001.P
IBM Resource Assignment	Low	Execution and Final Approval	EF007.P
Public Company Announcements	Low	Execution and Final Approval	EF009.S
Communications	Low	Execution and Final Approval	EF010.P
Performance Tracking	Low	Post-Deal Management	PD001.P

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The Data Analysis engagement procedures in the Audit Manual (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	**Analysis to be Performed**	**Possible Anomalies**	**Concern**
Financials	• Tracking to business case	• Not meeting expectations	• Inaccurate financial reporting and tracking could impede management's ability to make informed decisions.
M&A accelerator / Deal Mobilizer (Integration Plan)	• Status of integration plans • Look at progress of each individual work stream	• Integration not on schedule • Impact to financials • Assumptions not being met • Employee retention • Technology gaps	• Business case risk • Closure of all control issues • Compliance with existing contract terms • Compliance with FIN 151 / CIO 162

PLANNING: Reference Material

The following are reference materials. This list is not all inclusive and other resources should be referred to as applicable.

IBM Accounting Manual

IBM Accounting Practices
- AP BUS COM
- AP GW/INTG
- AP INVEST
- AI ADIA-004

IBM Business Conduct Guidelines

IBM Corporate Development Process Documentation - on the Corporate Development Website

IBM Corporate Finance Instructions (CI FIN) 122, 133K, 155B, 16F0, and CIO 162
- CIO 162 – Financially Significant and Other Enterprise Applications
- 133K - Powers reserved to the IBM company regarding accounting requirements
- 155B - Transactions between IBM companies and companies in which IBM has a partial ownership interest
- 160F - The capital structure of IBM subsidiaries and other organization structures
- 122 – Wholly Owned Entity Integration Guidelines

IBM Corporate Instructions
- IPL 131 - Contact with organizations in IBM's field of interest
- IPL 106J - Receipt and Disclosure of Confidential Information.

IBM Corporate Organization Letters
- CL 111B - Delegation of Authority - Real Estate.
- CL 122V3 - Acquisitions, Equity Investments and Divestitures, Including Partnership Interests

Business Conduct Guidelines:
- 2 - Receipt or Disclosure of Confidential Information.
- 7.2 - Conflicts of Interest

Due Diligence Checklists - Due diligence checklists are generated on a deal by deal basis and does not reside on the CD website.

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	**Typical Controls that should Detect the Fraud Risk**	**Testing Approach**
Items not identified during due diligence	Timely integration into IBM systems and processes	Examine progress against integration plan for higher risk areas

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Concept

Objective:
Concept is the first of four phases in the acquisition management and integration process. In this phase, the decision is made to pursue the acquisition. Identifying potential targets and evaluating them for fit throughout the first three phases of the acquisition management and integration process is required. The objective of the review of the concept phase is to determine:

1. If there is reasonable assurance that consideration was given in the contemplated transaction to ongoing (post-deal) relationships, IBM and business unit strategy alignment, market size and growth rates, IBM positions, strengths and weaknesses, reasons for transaction alternatives, IBM relationships to be impacted, deal construction, engagement plan and plans to manage/ and integrate the transaction.

2. If all approval requirements have been satisfied prior to proceeding to the due diligence and execute and final approval phases.

Risk/Exposure:
Failure to make sound, well supported decisions to proceed with acquisitions can have serious consequences to Unit and IBM business plans and results. The opportunity cost of time, skills, and money spent on targets that do not deliver expected results is considerable. Damage to IBM's competitive position, financial results, and market image can result.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Concept
Primary Test: Concept Approvals (CT001.P)

Note: The Concept phase is the first of four stages in the acquisition management and integration process.

Objective:
To verify that all required approvals were obtained and documented prior to proceeding to the remaining three phases.

Approach:
The intent of this test is not to second-guess the decision. Rather, it is to identify early indicators of potential problems.

Obtain and review information from the sponsoring organization supporting the decision to pursue - which could include unit strategy papers, charts, and meeting minutes.

Determine if:
the decision was properly approved per Corporate (and Unit Business, if applicable) Development guidelines responsible line organizations (Unit sponsor and support) participated in the decision
Was there disagreement as to whether to pursue? If so, what were the areas of difference and how were the disagreements resolved?
the decision appears to be reasonably consistent with the strategy of the Unit and the sponsoring organization. If not, why was the decision made to proceed?

For each transaction reviewed, verify that the required approvals were obtained and documented per the guidelines in CL122.

Was the analysis properly approved per Corporate (and Unit Business, if applicable) guidelines?
Did all key stakeholders, including the sponsoring and support organizations, participate in the decision as needed?
Were all key risks discussed during the decision process?
Were there areas of disagreement about the viability of pursuing? If so, how were these resolved?
Was the Deal Approval document signed or approved by appropriate executive level (according to level of investment) as outlined in CL122?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Due Diligence and Draft Integration Plan

Objective:
Due diligence requirements must be completed before entering the remaining two phases of the process, which are Final Approval, Execution and Record Transaction followed by Post Deal management (Integrate and Monitor) and execution.

Input to this phase is the result of the previous phase, Concept. Outputs from this phase include completed due diligence, risk and gap analysis and an Initial draft Integration Plan. The outputs from this phase are used in the remaining two phases of the process.

The objective of the Due Diligence review is to determine:

1. If there is reasonable assurance that the acquisition decision is validated with adequately considered risks and business consequences. These include ongoing (post-deal) relationships, strategic alignment at the IBM and Unit level, market positioning, industry and competitive analysis, human resources, financials, legal considerations, intellectual property, and finally, the ability to design, develop, market, deliver or produce products or services.

Risk/Exposure:
An inadequate selection process could compromise IBM's ability to negotiate effectively and could ultimately allow non-profitable, non-strategic investments to be made. The consequences of poor analysis include difficulty achieving expected business results and damage to IBM's competitive and market positions.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Due Diligence and Draft Integration Plan
Primary Test: Pre-Deal Analysis - Due Diligence (DD001.P)

Objective:
The intent of this test is to identify early indication of potential problems.

Approach:
Review and evaluate supporting documentation for the following attributes:
For each acquisition in the sample, request the due diligence reports (or list of reports by participants) and the subsequent summary of any key findings. Consider the following attributes:

- Was the appropriate confidential disclosure agreement executed by both parties prior to the receipt or exchange of any confidential information?
- Is there evidence that prior to due diligence, roles and responsibilities were defined for conducting due diligence, scheduling, security? (Should be evidenced by the kick-off materials)

<u>Strategy and Corporate Development</u>
Did the due diligence process include consideration concerning integration objectives?
In addition to the list of suggested due diligence items as defined above and review the following for compliance with established executive memoranda or any requirements for participation that are included in the Corporate Development portal:

- If the risk determined that additional investigation was required that would extend beyond the closing date, was legal counsel sought to determine IBM's liability?

- Was the participation of outside public accounting firm? If so, did the consultant document their findings and conclusions? Note that investment banking firms are often involved, and that the use of investment banking firms as part of acquisitions does not require the approval of IBM's Assistant Controller for Accounting.

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Final Approval, Execute Deal and Record Transaction

Objective:
The Final Approval, Execute Deal and Record Transaction phase is the third in a series of four phases. Inputs to this phase are from the two preceding phases, which are Concept and Due Diligence. Outputs from this phase are used in the final phase of the process, which is Post Deal management and execution. Outputs include business case, high level acquisition integration assumptions, communication plans, and the structured deal with negotiation strategy. Outputs should be reviewed with key stakeholders. Key stakeholders may include Corporate Development, Unit business development and, if appropriate, the Unit sponsoring and support organizations.

The Execution and Final Approval phase of the acquisition management process includes completing the business model, establishing high level acquisition integration transition plans, constructing the deal, negotiating with the target company selected, obtaining approval to complete transaction, signing, and closing the transaction. The objective of the tests is to validate that material evaluation requirements have been satisfied prior to signing and close, and that any material issues have been addressed. These evaluations may include any of the following:

- Were confidentiality and non-disclosure notices (CNDN) appropriately executed with IBM participants and with the target company?
- Did legal review documents before they were executed?
- Were preliminary acquisition integration transition plans established, based on pre deal analysis and due diligence?
- Was the final Deal business case and a business plan completed and reviewed?

Risk/Exposure:
An incomplete, inadequate evaluation process and negotiation could significantly increase IBM's financial risk, have a negative effect on IBM's relationship with the target company, and potentially create litigation consequences. In addition, insufficient evaluation could cause delays that may result in IBM missing opportunities in targeted markets.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Final Approval, Execute Deal and Record Transaction
Primary Test: Confidentiality and Non-Disclosure Notice (EF001.P)

Objective:
To validate that all required Confidentiality and Non-Disclosure Notices (CNDNs) and, if used, negotiation letters were properly executed prior to the initial meeting with the target company.

Approach:
Using the sample selected, for each acquisition, review all CNDNs, negotiation letters and other correspondence to the target company for the following documentation:

- If a Negotiation Letter Agreement was used, was it signed by an IBM authorized representative and an appropriate representative of the target company prior to meetings with the target company?
- Was the proper CNDN used, and was prior concurrence obtained from the legal department for its use?
- Was the signature on the CNDN in accordance with a delegated authority?
- For any CNDN, was it further delegated?
- Was a code name assigned to the deal to protect the confidentiality? Was it communicated to the team?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Final Approval, Execute Deal and Record Transaction
Secondary Test: Background Checks (EF002.S)

Note: If background checks were required by and subsequently obtained by Business Development Legal in the U.S. only, perform this test.

Objective:
To determine if information concerning background checks was properly secured.

Approach:
Background checks on the principal officers or investors of an equity investment or acquisition of a private firm is sometimes necessary. Validate that the dissemination of the resulting reports was appropriately restricted to those with a need to know and properly secured.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Final Approval, Execute Deal and Record Transaction
Primary Test: Business Model (EF003.P)

Objective:
To determine if adequate review exist to ensure that business cases are complete, and that initial draft acquisition integration plans are in place.

Approach:
Obtain copies of processes, procedures, flowcharts, and risk acceptances for the IBM business case model and the IBM integration or transition plans, and review for the following:

- Has the owner of the business case model for the transaction been identified?
- Are the financial business case models complete?
- Is the data consistently applied and evaluated in the transaction business model?
- Does the business case meet the financial criteria for executing an acquisition transaction?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Final Approval, Execute Deal and Record Transaction
Primary Test: Final Approval (EF004.P)

Objective:

- To determine if the business case used to make acquisition decisions is complete, approved as part of the overall final approval package, and in accordance with process requirements.

Approach:
Sample the transaction business case documentation for the following:

- Was the business case included in the overall Final approval?

- If issues were captured during the due diligence process, were they subsequently closed or acknowledged by the deal sponsor as acceptable risks? Were the acceptable risks, if any, identified in the approval documentation? Note that the CHQ M&A tool, M&A Accelerator / Deal Mobilizer tool should also include issues, concerns, and risks identified at the time the deal was approved.

- Have the results of due diligence been reviewed with the Unit sponsoring executives and by the negotiating team?

- Was material 'terms' of the deal reviewed with the sponsor (This can take the form of a term sheet, draft contract, memorandum, Notes)?

- Does the business case or supporting documentation clearly define the financial and business objectives of the transaction?

- Did the business case identify all significant forecasted costs and expense including integration or transition activity (i.e. integration, employment subsidies for loaned employees, or additional types of subsidies for dealers)?

- Was Final approval granted per the CL122 delegations?

- If comebacks were required that changed the deal structure, was the adjusted deal properly approved, and appropriately updated in the business case?

- Was an exit strategy defined in the deal structure (in the case of a less than 100% owned transaction)?

- Was an acquisition integration plan prepared, reviewed, and committed by the Unit sponsoring organization, support organization, and key stakeholders?

- If stock was a consideration for any acquisition, was the appropriate level of the treasury organization involved in the transaction?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Final Approval, Execute Deal and Record Transaction
Primary Test: Contract Management (EF005.P)

Objective:
To ensure that acquisition are executed with appropriate contracts and agreements, and properly reviewed and approved as required in order to minimize IBM's financial risk and preserve IBM's image, determine if contracts or agreements have been 1) have been made available to the appropriate support functions, and 2) are within delegation authority (e.g., legal, finance, personnel, real estate) prior to execution, 3) approved by the appropriate functions. In addition, determine if all regulatory requirements have been satisfied prior to closing the deal.

Approach:
Review a sample of executed contracts and agreements for the transaction and determine if, prior to execution, the appropriate IBM functions had reviewed sections of the contracts or summaries of relevant terms that directly affect their area of responsibility including:

- Finance - To ensure business case accounted for key costs of the transaction and reflected expected revenue and profit to IBM.
- Legal, Intellectual Property - To ensure compliance with antitrust laws and other government regulations, conformance with IBM cross-license requirements, and protection of IBM legal and property rights.
- Sponsoring Unit Executive Management – To ensure contract terms are consistent with IBM's strategic and operational plans.
- Human Resources - To ensure consistency with IBM policies and practices.
- Corporate Tax - To ensure any tax issues are appropriately addressed.

Has the legal department prepared and filed the appropriate legal forms (i.e., Hart-Scott-Rodino filing in the US) and other appropriate forms and filings?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Final Approval, Execute Deal and Record Transaction
Secondary Test: Settlements (EF006.S)

Note: This test should be completed as a primary test if any litigation had occurred.

Objective:
To determine if situations which led to litigation losses and settlements for items for which IBM was not contractually bound were analyzed for cause. In addition, the objective is to verify that a process to prevent further losses was implemented.

Approach:
Review the supporting documentation, including lessons learned developed by management, for any acquisition activity which involved litigation. Determine if this type of situation could occur in other acquisitions. Determine if actions have been taken to prevent this sort of situation from reoccurring.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Final Approval, Execute Deal and Record Transaction
Primary Test: IBM Resource Assignment (EF007.P)

Objective:
To validate that there is an effective process in place that ensures Unit executive sponsor ownership and the integration executive for acquisitions have been assigned as required.

Approach:
Review the transaction process documentation for specific requirements.

For acquisitions has an integration executive been assigned?

There are occasions when IBM takes a majority control position and there will be a Board of Directors that will govern the entity. In such cases, or in the case of IBM being a minority shareholder, it may be necessary to appoint one or more Directors or Observers to the Board of Directors. If there is an appointment, was it approved by the IBM General Counsel?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Final Approval, Execution and Record Transaction
Primary Test: Acquisition Integration (EF008.P)

Objective:
To determine that there is a formal process in place that ensures high level acquisition integration transition plans are in place, per the draft Plan of Record, prior to closing the deal and are consistent with the Final Approval.

Approach:
Review the integration plan for 100% acquisitions.
Note: The scope of these plans is dependent on the nature and the size of the transaction. Look for the following attributes:

Plans:

- Was a summary of the draft Integration Plan included in the Final approval presentation?
- Were acquisition integration plans in place for key functions such as sales, marketing, development, service delivery, product manufacture, distribution, human resources, finance, and legal? Note that these should be included in the CHQ M&A tool, M&A Accelerator / Deal Mobilizer tool. Prior to completing the acquisition transaction, these plans will be less detailed than they will be once the post deal work is underway.

Was the acquisition planned ToB date clearly defined and documented in the Final approval presentation?

Have roles and responsibilities been defined for the acquisition integration?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Final Approval, Execution and Record Transaction
Secondary Test: Announcements Concerning Public Companies (EF009.S)

Objective:
To determine if the Vice President of Investor Relations was provided adequate information prior to announcement concerning investments or acquisitions in public companies.

Approach:
Determine if there were any public companies that were 100% acquired or significantly invested in and if the following information was provided accurately and in a timely manner to the Vice President of Investor Relations:

- Expected date of transaction (tender offer if applicable)
- Expected completion date of transaction
- Who and when to contact for information.
- Contact and number at target company to direct calls.
- What to say concerning due diligence or other timing factors, if any
- Who are our financial advisors?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Final Approval, Execution and Record Transaction
Primary Test: Communications (EF010.P)

Objective:
To determine if adequate time and resources were available to prepare transaction announcement deliverables as required to mitigate any false or incomplete press coverage prior to an external announcement. In addition, to ensure other communications plans (employee and customer, if applicable) were developed and completed.

Approach:
Were the press releases reviewed by legal, Corporate Development, and the sponsoring organization?

Was an employee communication plan developed as part of the overall communication plan coordinated by Human Resources and the sponsoring unit's communication function?

If there were any exceptions noted in the communications process, what were the causes and what controls have been implemented to mitigate exceptions?

Note: As applicable, not all acquisitions are announced.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Integrate and Monitor

Objective:
The integrate and monitor (acquisition integration phase) is the fourth and final phase of the process. It is preceded by the Concept Approval, Due Diligence and Draft Integration, and Final Approval, Execution and Record Transaction phases. The previous phases evaluate and conclude the decision to acquire. This phase concentrates on successful execution of those decisions, with emphasis on achieving the expected business objectives with appropriate risk management and control.

Integration activities blend the acquired entity into IBM's business. Note that integration ranges from minimal (for entities that will remain relatively separate) to partial to complete. Determine what the initial extent of the integration was expected to be at the time the decision to acquire was made, as well as the actual result. The integration activities include:

- For wholly owned subsidiaries completing ToE and ToB requirements per FIN122 within six months as required or have an annually reviewed exception in place.
- incorporating IBM business management practices in accordance with the high-level plans approved during the previous phase and obtaining global process owner agreement for non-Standard IBM processes.
- evaluating appropriate SOX, KCFR process control points and processes as required, and planning for implementation in accordance with corporate timetables
- establishing and evaluating minimum process controls as required, consistent with the overall integration efforts and timing.
- establishing and effectively executing unit-specific operational and administrative controls.

Establishing and completing sufficiently detailed acquisition integration plans is crucial to success. These plans include key milestones, committed owners and resource, and committed action dates. The plans should be established at a relatively high level during the Execution and Final Approval phase, then further detailed, updated, and carried out during the post deal management phase. Any significant difficulties encountered must be promptly identified and resolved.

The goals of the integration plan should be understood for the specific auditable unit being reviewed. In general, the goals are to:

1. successfully incorporate the acquisition's operations into IBM
2. realize the business objectives committed in the Execution and Final Approval phase

Measuring results is also critical. Financial results and execution of the acquisition integration plan should be closely monitored. The Corporate Development process requires status reviews for acquisitions greater than $10M Enterprise Value. More detailed review and management for acquisitions should occur within the Unit and the sponsoring organization.

Risk/Exposure:
An inadequate management and acquisition integration process could compromise IBM's ability to achieve committed business results and add risk to IBM's business and controls posture. The consequences of poor management and integration include difficulty achieving expected business results, poorly controlled operations that increase IBM's business risk, and damage to IBM's competitive and market positions. Proper tracking is critical to understanding whether acquisitions are providing the required returns.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Integrate and Monitor
Primary Test: Performance Tracking for Acquisition Integration (PD001.P)

Objective:
To ensure that business plans, operational milestones, integration plans, and financial results for acquisitions were developed and tracked by the sponsoring unit and reported to Corporate Development and key stakeholders, including the Unit sponsoring organization and support organizations. The information will be used to drive achievement of the committed business results. It will also be used to enhance the knowledge base of Corporate Development, Unit Business Development, the deal team, and sponsoring unit.

Approach:
For acquisitions, consult the Overview audit program and audit program(s) for the business process performed by the acquired entity as a guide.

Review the post-acquisition management and integration or plan that includes: a) financial information, b) operational activities, c) committed owners and resource, d) milestones with target complete dates, and e) financial plans based on the approved business case to determine the following:

- Did the acquisition integration plan include, as appropriate, items for human resources, financial, legal, marketing, sales, design and development, service delivery, product manufacture and distribution, intellectual property, key operational processes, and so forth? Note: This list may vary depending on the acquisition, some may not have all of the listed items above.
- Did the acquisition integration plans address risks and gaps identified in due diligence? Note: This process is managed in M&A Accelerator / Deal Mobilizer.
- Were acquisition integration plans regularly updated with new information, status, and committed recovery plans when plan elements were missed or at risk of being missed?
- Was the Plan of Record Steering Committee engaged as needed to address any material or significant issues or obstacles? Were minimum process controls established and evaluated consistent with the overall integration efforts and timing? Were secondary controls established and monitored? Note: This is only required in some cases.
- Was the acquisition fully integrated, and achieved all ToE and ToB requirements within 6 months of close per FIN122 for wholly owned subsidiaries? If not, was an extension documented and approved?
- Were activities required by CIO162 completed as required? If pursuing an integration plan and unable to comply within first full quarter after acquisition close date was a CIO 162 risk evaluation/issue submitted in FBC OpenPages with Entity CFO approval? If no feasible plan to comply, was justification documented in FBC OpenPages as the Non-Integrated Entity (NIE) Issue within the first full quarter after acquisition close date with required approvals and assessed periodically as conditions changed?
- If the acquisition was not to be fully incorporated into IBM's business and its controls, was the decision and proposed approach reviewed and approved by appropriate executives, according to FIN 185. Approval requirements are outlined in FIN 185.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Integrate and Monitor
Primary Test: Performance Tracking for Acquisition Integration (PD001.P)
(Continued)

For acquisitions where quarterly performance and financial tracking is required:

- Validate that quarterly performance and financial tracking covering a two-year period has been prepared, implemented and reviewed with Corporate Business Development if required.

- Did the final tracking case represent financial performance commitments that were linked to the Final approved business case?

- Are acquisition performance results reviewed on a regular schedule with the Unit sponsor and with Corporate Development leadership if required?

- Was there an adequate process to monitor the acquisition's performance?

- Are significant variances from the original business case explained?

- Are business unit executives adhering to the investment strategy approved in the final business case? (quarterly validation by Corp Dev)

- Are action plans in place to support deviation from the investment strategy?

For quarterly milestones reported to CHQ: consult M&A Accelerator tool / Deal Mobilizer for the required list and validate that the reviews occurred unless not required by the SVP of Strategy, and M&A.

For milestones established and managed by the integration (or transition) executive in the IBM unit:

- Are milestones established and measured?

- Was the reporting prompt? Were exceptions identified and explained? Following are examples of some elements that may be included in the milestones.
    - Personnel and Executive Resources milestones
    - Sales and Marketing milestones
    - Service and Maintenance milestones
    - Facilities Maintenance milestones
    - Financial Processes milestones
    - Information Systems milestones (integrating IBM Systems)
    - Intellectual Property milestones
    - Environmental Standards milestones
    - Research and Development milestones
    - Manufacturing milestones
    - Branding milestones

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Integrate and Monitor
Primary Test: Financial Accounting, Planning, and Reporting (PD002.P)

Objective:
Validate that the accounting treatment for transactions complies with corporate accounting practices, that the transaction was promptly and accurately recorded, and that financial measurements vs the deal business case and the operating plan are being reported and managed. This is the responsibility of each unit CFO organization with their accounting support.

Approach:

- Verify that the accounting methodology for the acquisition is adjusted to conform with GAAP when used for internal IBM purposes (i.e., investment recording and revenue analysis). Additionally, confirm that significant accounting policies in key areas such as revenue recognition and accruals are understood and adjusted for as part of the analysis as appropriate.

- Verify that the accounting methodology for each equity transaction was in compliance with corporate accounting practices (see below). Review the transaction financial statements (I&E and Balance Sheet), SEC filings or other government regulation reports, and internal management reviews to determine if the value of an investment has been reduced by consistent losses on the part of a transaction. If so, has an allowance been established for this reduction in value? Verify reasonableness of accruals which may have been required due to late receipt of data from transactions.

- Review treatment and recording of tangible and intangible assets. Also review the purchase price paid vs the valuation developed during due diligence. Understand the reasons for any significant difference between the price paid / received and the valuation because this could affect revenue recognition and the balance sheet. Review the deal, contracts, management presentations, and accounting fact sheets for consistency. Note whether differences among these sources of information are explained.

- In addition, review the last 12 months of the financial measurements (I&E and balance sheet), starting no earlier than the transaction date. Verify that it was supported by the general ledger and reviewed and approved by management. Sample reconciling items to determine if their resolution was completed in a timely manner, with proper supporting documentation.

IBM Accounting Practices

- AP BUS COM
- AP GW/INTG
- AP ADIA-004
- AP INVEST

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 5. Divestitures
Primary Test: Divestiture Concept and Final Approvals (DV001.P)

Objective:
To determine that adequate controls are in place for IBM divestitures.

Approach:

Go-to Market Approval
- Was a code name assigned to the deal to protect the confidentiality? Was it communicated to the team?
- Was the internal Go-to-Market briefing document contents approved by the appropriate executive level (according to level of investment) as outlined in CL122?

Concept Approval
- Was a confidentiality agreement signed and executed with each potential buyer included in the Concept approval request?
- Did all key CHQ and brand stakeholders, including the sponsoring and support organizations, participate in the Concept Approval request review / decision?
- Were all known risks discussed during the decision process?
- Did any IBM stakeholder or functional group object to granting Concept approval for the divestiture? If so, how were the concerns resolved?
- Was the Deal Approval document approved by the appropriate executive level (according to level of investment) as outlined in CL122?

Final Approval
- Was the business case included in the overall Final approval package?
- Were material 'terms' of the deal reviewed with the sponsor and CL122 approvers.
- Was a divestiture transition plan prepared and reviewed by the Unit sponsoring organization, support organizations, and other key stakeholders?
- Was an IBM Transition leader assigned?
- Was Final approval granted per the CL122 delegations?